capital goods, implementation of new projects, etc. This restriction is called **end use restriction.**

The heading External Commercial Borrowings also covers Foreign Currency Convertible Bonds (FCCB) and Foreign Currency Exchangeable Bonds.

FCCB are bonds issued by an Indian company expressed in foreign currency. The principal and interest in respect of these bonds are payable in foreign currency.

Foreign Currency Exchangeable Bonds (FCEB) are also expressed in foreign currency issued by an issuing company. These are issued to persons who are residents outside India. These are exchangeable into equity share of another company, called the Offered Company. The principal and interest in respect of these bonds are payable in foreign currency. The word 'Exchangeable' refers to the facility to convert bond of one company into equity share of another company.

iii. Short-term debt

Short-term debts are trade credits for a maturity of less than three years.

iv. Banking Capital

Banking capital comprises three components:

a. Foreign assets of commercial banks
b. Foreign liabilities of commercial banks and
c. Others

"Foreign assets" of commercial banks consist of (i) foreign currency holdings, and (ii) rupee overdrafts to non-resident banks.

"Foreign liabilities" of commercial banks consist of (i) non-resident deposits and (ii) liabilities other than non-resident deposits, which